Finance- HSC (20%)

Term 4

Resources:

- **Finance Section**
- **Page 23/ 24 -** https://educationstandards.nsw.edu.au/wps/wcm/connect/2f9a5382-5446-4dc6-ba39-f90f53469200/business-studies-st6-syl.pdf?MOD=AJPERES&CVID=
- **Textbook pages 178-287 (Chapter 9,10,11,12)**
- **Case study- chapter 3 of Mcdonalds Case study**

Overview of layout for finance (and for business studies)

1. **Role** of Financial Management (What is the role of finance?)

Chapter 9

2. **Influences** Of Financial Management (How does it influence…)

Chapter 10

3. **Processes** of Financial Management (How does it work?)

Chapter 11

4. Financial Management **Strategy** (Responses- to the process-data?)

Chapter 12

Theory and applying it to real scenarios (Case Study- MacDonald's)

Show a past paper and how it is broken down per HR/ Finance/ Operations/ Marketing (25% equal weighting) but broken into Multiple Choice, Short response, Extended response.

2022 past paper- quick overview

- https://educationstandards.nsw.edu.au/wps/wcm/connect/950c58a5-161f-4f52-bab5-e5316fe4dcf2/2022-hsc-business-studies.pdf?MOD=AJPERES&CACHEID=ROOTWORKSPACE-950c58a5-161f-4f52-bab5-e5316fe4dcf2-ogmwYe9

Role of financial management (syllabus points)

- strategic role of financial management
- objectives of financial management – profitability, growth, efficiency, liquidity, solvency – short-term and long-term
- interdependence with other key business functions

Role of Financial Management- 1-2weeks

Questions

Who has ever saved money for something they wanted?

Who checks prices before buying something?

Basic Concepts of Financial Management

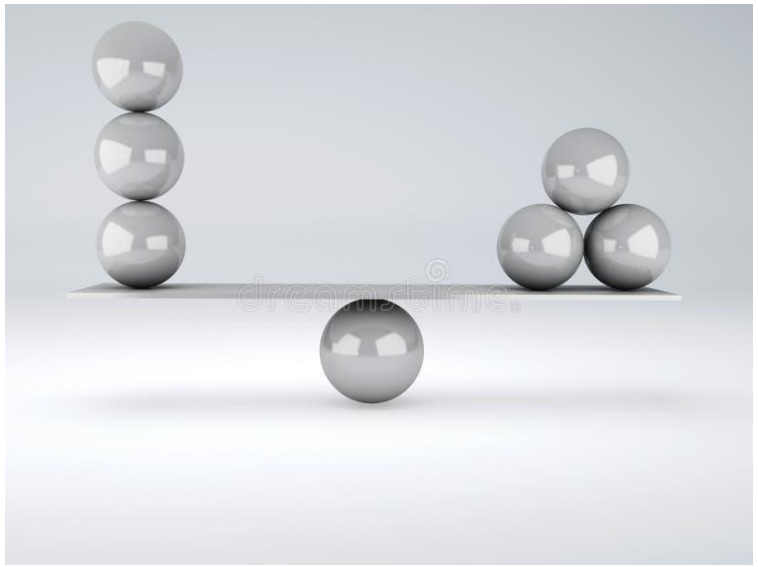
- Budgeting: Forecasting and allocating resources for future needs.
- Investment: Allocating resources to projects or assets that yield future benefits.
- Risk Management: Identifying and mitigating potential financial losses.
- Financing: Deciding how to fund the business operations and growth (debt vs equity).



Introduction to Financial Management

Definition:

Financial management refers to the strategic planning, organising, directing, and controlling of financial undertakings in an organisation or an institute.



Significance for Businesses

- Ensures efficient use of resources.
- Minimizes financial risks.
- Aids in decision-making.
- Fuels business growth through wise investments.

Personal Reflection Discussion

Questions

Think about the last time you saved money for something you wanted. What was your strategy?

1. Have you ever decided not to buy something because it was too expensive? What was the decision after this?

2. If you were given $100, how would you decide what to spend it on, or whether to save it?

3. Transition to Broader Business Context

Discussion Points:

1. Just as we make decisions about how to spend or save our money, businesses have to make even bigger decisions about where to **invest** their funds, how much to save for future projects, and how to manage financial risks.
2. In our personal lives, the stakes might be about affording a new gadget or planning a trip. For businesses, it could be about **expanding to new markets, launching new products**, or even ensuring they can pay their employees.
3. Remember the financial objectives like profitability, growth, and risk management we discussed? Now, imagine trying to achieve these on a large scale, like for a company like Apple or Samsung. That's where financial management plays a crucial role.

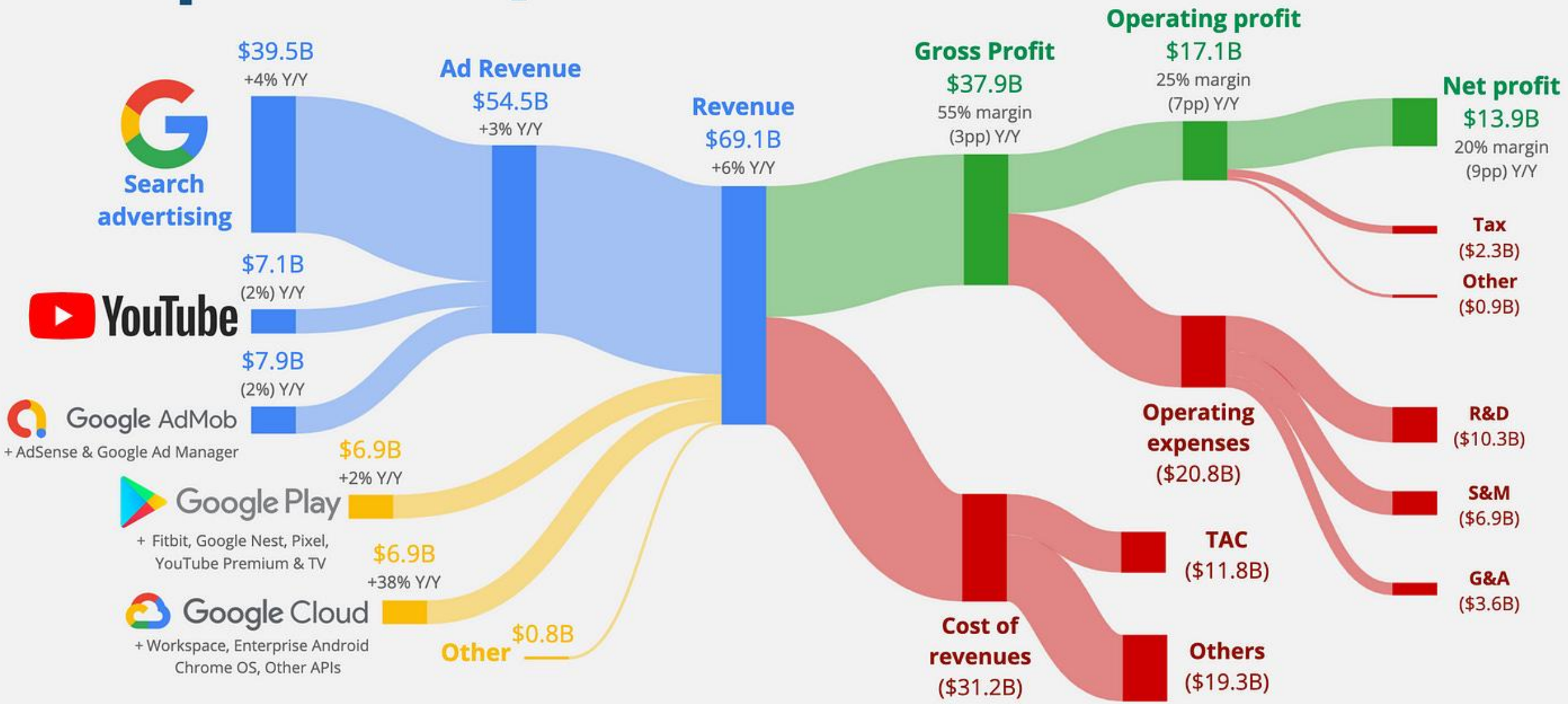
- **Illustrative Example:** You might decide to save money by not buying coffee every day. Similarly, a business might decide to cut costs by switching to a cheaper supplier or investing in technology that automates a manual process.

COMPANY B
INCOME STATEMENT

For Year Ended September 28, 2019 (In thousands)

NET SALES	$	4,358,100
COST OF SALES		2,738,714
GROSS PROFIT		**1,619,386**
SELLING AND OPERATING EXPENSES		560,430
GENERAL AND ADMINISTRATIVE EXPENSES		293,729
TOTAL OPERATING EXPENSES		**854,159**
OPERATING INCOME		**765,227**
OTHER INCOME		960
GAIN (LOSS) ON FINANCIAL INSTRUMENTS		5,513
(LOSS) GAIN ON FOREIGN CURRENCY		(12,649)
INTEREST EXPENSE		(18,177)
INCOME BEFORE TAXES		**740,874**
INCOME TAX EXPENSE		257,642
NET INCOME	$	**483,232**

Alphabet Q3 FY22 Income Statement

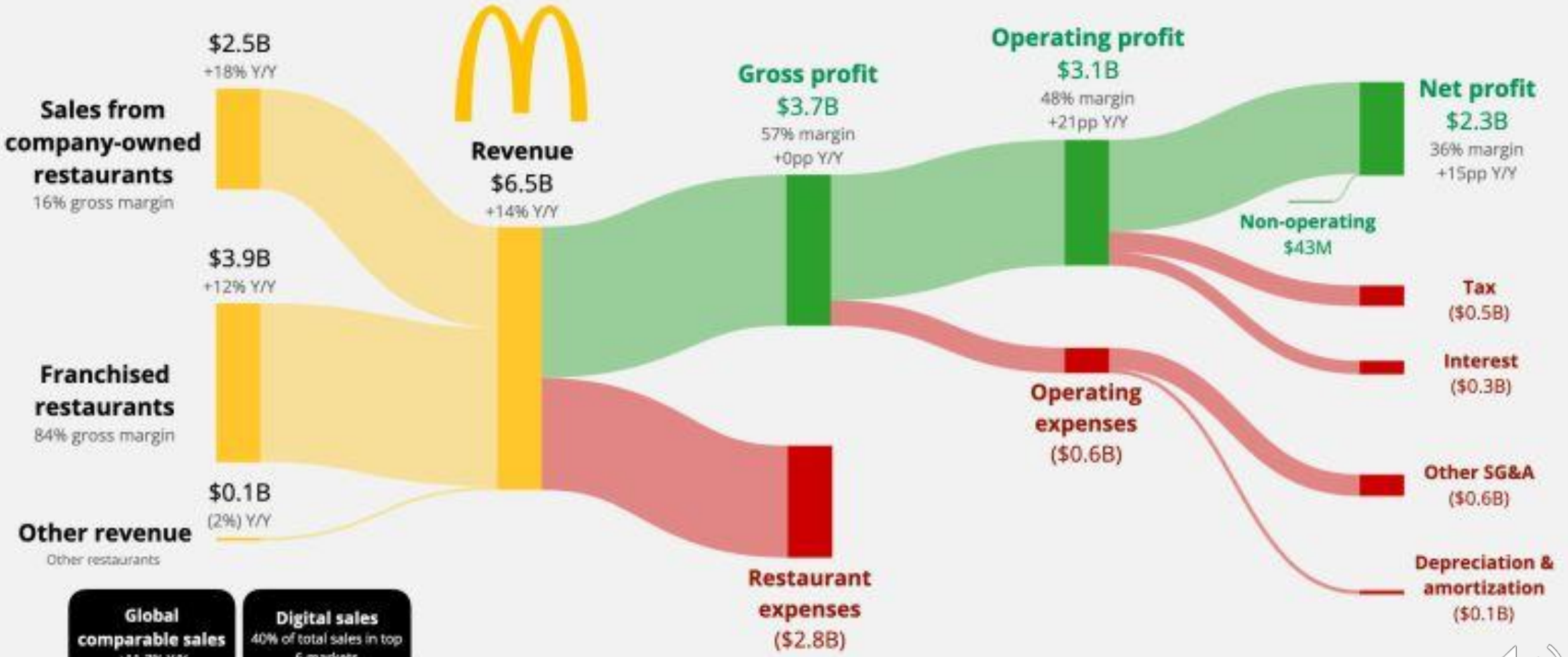


Source: Quarterly results

@EconomyApp

APP ECONOMY **INSIGHTS**

McDonald's Q2 FY23 Income Statement



Global comparable sales
+11.7% Y/Y

Digital sales
40% of total sales in top 6 markets

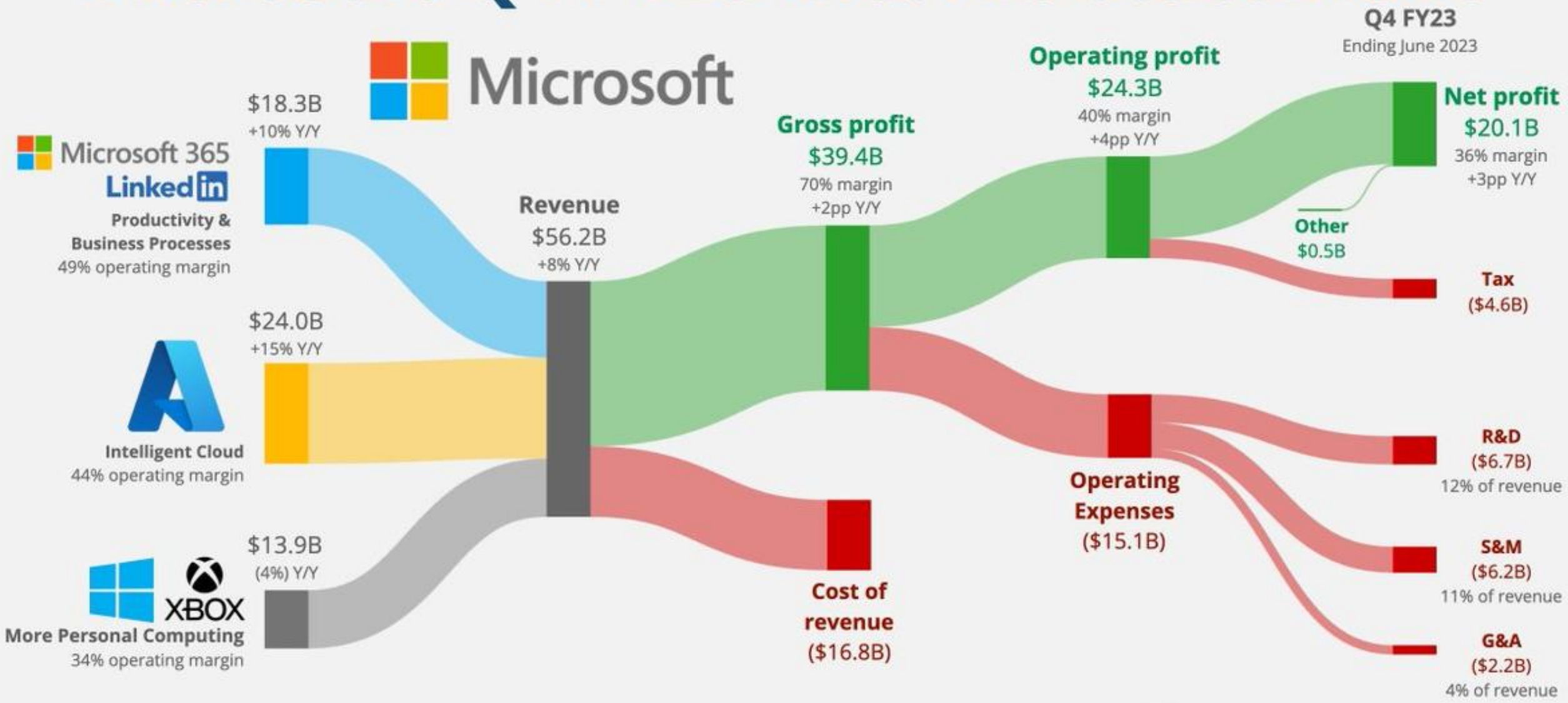
Digital Sales = Mobile, Delivery, and Kiosk

Source: Quarterly results

appeconomyinsights.com

APP ECONOMY **INSIGHTS**

Microsoft Q4 FY23 Income Statement



Source: Quarterly results

appeconomyinsights.com

APP ECONOMY **INSIGHTS**

Decision making-

- Companies use information about the company to make decisions and then make changes and then monitor the changes. This is an ongoing process.

Company decision making examples

- **Boeing's Financial Challenges with the 737 Max**
- Description: Boeing faced significant financial challenges after two crashes involving its **737 Max planes**. The video delves into the financial and strategic decisions the company made in the aftermath.

- https://www.youtube.com/watch?v=EESYomdoeCs

Company decision making examples

Tesla Giga Factory (investment)

Tesla's decision to invest heavily in its Gigafactory in Nevada was a high-stakes financial risk. The video can explore the financial considerations and projections that backed this decision.

- https://www.youtube.com/watch?v=gPFqyLYf1DU

Company decision making examples

- **Starbucks Financial Strategies (growth)**
- How do they utilize finance to increase profit? Operating as a bank- how does this happen and why would a company pursue this strategy.
- https://www.youtube.com/watch?v=1-OJX1rwnl8

Company decision making examples

- **Amazon's Acquisition of Whole Foods (investment)**
- This major acquisition showcases how a tech giant moves into brick-and-mortar retail, integrating diverse business models. This is a prime example of strategic financial decision-making for expansion and growth.
- https://www.youtube.com/watch?v=Cq5kBswU9VI

Activity

Pairs-

Choose a Case study and write a PowerPoint Presentation (1 page bullet points) of each video.

1. Boeing 2. Tesla 3. Starbucks 4. Amazon

Guiding Questions/ideas:

What action did the company take?

Why did the company decide to take actions?

How did this work out for them?

Additional Case study examples

Target Strategy

https://www.youtube.com/watch?v=XTldK247KmE

Chipotle

https://www.youtube.com/watch?v=xuMSRx5bnDw

Readings

- McDonald's turnaround strategy

https://macleans.ca/economy/business/no-more-clowning-around/

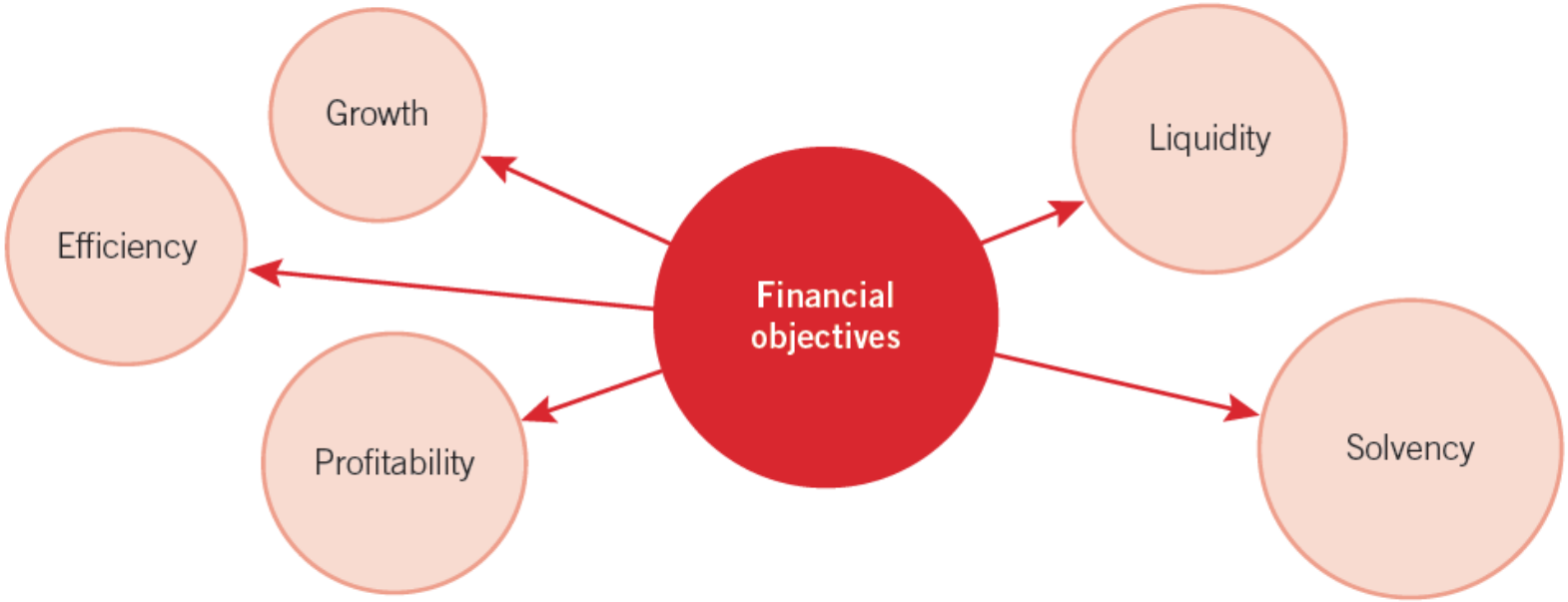
What was the issue?

How did they turn it around?

What was the outcome?

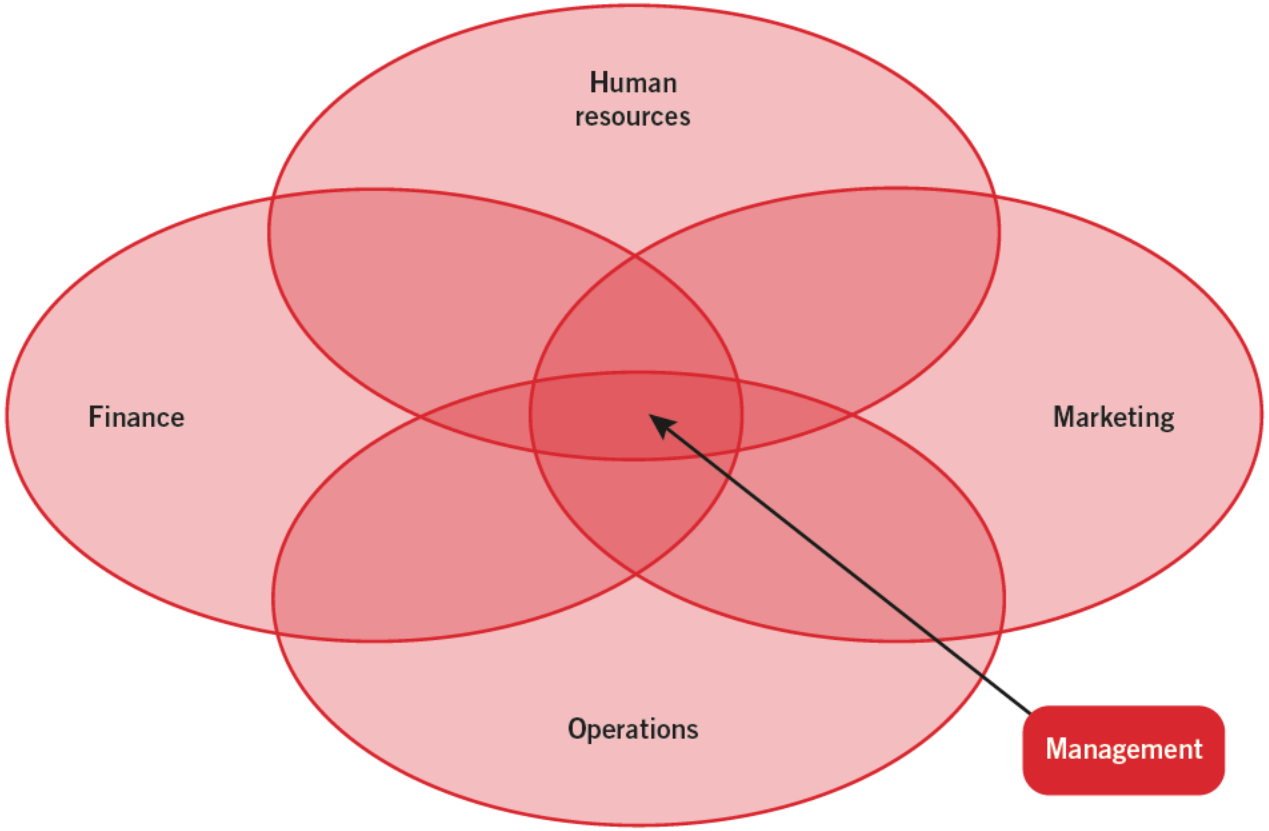
Why did it work?

Financial Objectives



Objective	Definition	Data from financial reports	Analysis
Profitability	The earnings of the business after expenses have been paid	**Gross profit** (income statement)	Formulas are calculated as a percentage of sales. Generally, if revenue is greater than expenses, the business has made a profit. If revenue is less than expenses, it has made a loss.
		Net profit (income statement)	
		Earnings before interest and tax (EBIT) (income statement)	
Efficiency	How much of total revenue is spent on expenses	Expenses (income statement)	The proportion of sales revenue that is used for expenses.
Growth	The size of the business compared to its competitors in the same market	Market share	Compare business sales to total market sales. The higher the percentage, the larger is its market share.
		Number of outlets	
Liquidity	The ability of the business to pay short-term liabilities using its current assets	Current assets and current liabilities (balance sheet)	Compare current assets and current liabilities. If current assets are greater than current liabilities, the business has positive liquidity. If current assets are less than current liabilities, it will not have enough money to pay its short-term bills as they fall due.
Solvency	The ability of the business to pay both short-term and long-term liabilities as they fall due	Current assets, current liabilities, non-current assets and non-current liabilities (balance sheet)	Compare total assets and total liabilities. If the business is able to pay its short-term and long-term debts as they fall due, it is solvent. It needs to be able to make its repayments for debt finance.

Interdependence



Review 9.1

Questions 1-10 (p188-189)

Review 9.1

Comprehension

Answer these questions on paper or in the Interactive Textbook.

1 Explain the impact that increasing efficiency will have on a business's profitability.
2 Analyse how sales can be used as a measure of a business's growth.
3 Identify other ways that growth could be measured.
4 Explain why objectives of growth and profitability may cause conflict in the short term.

The following questions refer to the income statement below.

Income statement for Elfie's Corner Store

Income	**$**	**$**
Sales	94500	
Cost of goods sold	58200	
Gross profit		36300
Expenses		
Rent	21100	
Electricity	820	
Telephone	1100	
Wages	5200	28220
Net profit		8080

Continued →

5 Calculate the revenue that this business achieved.
6 Calculate how much Elfie has paid for the inventory she actually sold.
7 Deduce whether Elfie owns the premises and explain how you came to this conclusion.
8 Calculate the profitability of this business. (Hint: see Source 9.6)
9 Calculate the efficiency of this business. (Hint: [expenses ÷ sales] × 100)
10 Discuss the profitability and efficiency of this business.